

then, the index must fall below 130.29, reducing the ultimate target range to **13.23-130.29**, implying a drop of 93%-99%. As with the Industrials, the ongoing structure of the bear market will provide the evidence needed to create a more specific target.

Most people would say that such a target range is “crazy.” Yet it is less crazy than the current overvaluation. Did you know that bear markets of only Cycle degree typically bring prices down far enough that the yield from averages such as the Dow Jones Industrials rise to above 6%? Well, it would take a drop to DJTA 300 to bring today’s yield up to 6.5%. But wait. That level would stop a bear market only if the economy stays robust and there are no dividend cuts. Bear markets always bring a contracting economy, and the transportation industry is hardly a pillar of strength. Thus, valuation models, considering merely the possibility for a recession and some moderate dividend cuts, suggest reasonable value below 200 for the Dow Jones Transportation Average even if the bear market were to be only of Cycle degree! Given the outlook for depression expressed in Chapter 13, of course, the dividend yield of the DJTA could fall to nearly zero, and even the 100 level will look expensive.

The disparity between hope and reality in the Dow Jones Transportation Average is nearly unfathomable, though to today’s investors, its price appears perfectly reasonable. I am dying to know what the buyer in the 1800s is thinking. (Actually, I’d like to know *if* he is thinking.) I will tell you what I’m thinking. If you have accumulated any frequent flyer miles, you should use them up as fast as you can.